



CIRCULAR

CIR/MIRSD/6/2012

May 14, 2012

To
All Merchant Bankers registered with SEBI

Sir / Madam,

Sub: Review of Regulatory Compliance and Periodic Reporting

1. SEBI (Merchant Bankers) Regulations, 1992 have been amended vide notification no. LAD-NRO/GN/2011-12/40/7335 dated March 29, 2012, a copy of which is available on SEBI website www.sebi.gov.in. With the said amendment, merchant bankers are required to submit a periodic report in such manner as may be specified by the Board from time to time. Further, in terms of SEBI Circular No. MIRSD/DPS-2/MB/Cir-16/2008 dated May 06, 2008, merchant bankers are required to submit half-yearly report in electronic form.
2. In order to strengthen the compliance mechanism and the role of the Boards of Merchant Bankers, it has been decided to review the reporting format. The revised format as given in the [Annexure](#) includes the status of regulatory compliance and investor grievances redressal.
3. The Boards of Merchant Bankers shall, henceforth, review the report and record its observations on (i) the deficiencies and non-compliances, (ii) corrective measures initiated to avoid such instances in future, (iii) pre-issue and post-issue due diligence process followed and whether they are satisfied and (iv) track record of past issues managed.
4. Accordingly, with effect from half year ended March 31, 2012, the Compliance Officer of the Merchant Banker shall send the report in the revised format to SEBI at mb@sebi.gov.in on half yearly basis within three months of the expiry of the half year. The other terms and conditions mentioned in the circular mentioned in Para 1 shall remain unchanged.
5. Further, merchant bankers are required to report changes in their status or constitution in accordance with Circular no. CIR/MIRSD/7/2011 dated June 17, 2011. The same information has also been incorporated in the revised format.
6. This circular is issued in exercise of powers conferred under Section 11(1) of the Securities and Exchange Board of India Act, 1992, to protect the interests of investors in securities and to promote the development of, and to regulate the securities market.



भारतीय प्रतिभूति और विनिमय बोर्ड
Securities and Exchange Board of India

7. This circular is available on SEBI website (www.sebi.gov.in) under the categories “Legal Framework” and “Circulars”.

Yours faithfully,

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Encl: [Annexure](#)